

Town of Lunenburg

FY 2022 Preliminary Budget, Town Manager Recommendation

February 9, 2021

Heather R. Lemieux, Town Manager

FY2022 Budget Timeline to Date

- Capital Planning Committee began in September 2020, met with departments in November and December 2020
- Town Manager sent target budgets to departments in December 2020 due back on January 7, 2021
- The Capital Planning Committee finalized the prioritization of projects for the FY22 Capital Plan on January 5, 2021
- Town Manager presented the FY22 Capital Plan and FY22-FY26 Five Year Financial Forecast the week of January 18, 2021
- As required by the Town Charter, the Town Manager presents a Preliminary FY22 Budget by mid-February

Preparing the FY2022 Recommendation

- Goal was to create a balanced budget that funds operating budgets using recurring revenues at current service levels with some exceptions.
- Original target budget used in December and preliminary budget use conservative revenue projections.
- Meets the Town's Financial Policies
- Certified Free Cash not used on operating budget and abides by the Town's Financial Policies:
 - **\$688,825 of Free Cash** towards Capital Items;
 - **\$180,418 of Free Cash** towards OPEB liability costs (10% of previous year's certified free cash);
 - **\$100,000 of Free Cash** deposited into the regular Stabilization Account per the policy.
- Proposes to establish a Health Insurance Stabilization Fund to prepare for the FY2023 increase due to two years of significant savings from Holiday Health Insurance Premiums

FY2022 Target Budget

FY2022 Target Budget

- On the Revenue side:
 - **Property Taxes:** Included adding 2 ½ % to previous year's levy, \$280,590 for New Growth, and debt exclusion amounts.
 - **State Aid:** Level funded State Aid based on the FY21 State Aid figures that were approved in December 2020.
 - **Local Receipts:** Included a \$50,000 increase over previous FY's estimate for Motor Vehicle Excise Taxes but level funded all other local receipts.
 - **Other available funds:** Target budget did not address use of Free Cash. Other sources of available funds similar to the previous fiscal year sources.

FY2022 Target Budget

- On the Expenditure side:
 - Level funded Cherry Sheet Offsets, State & County Charges and Choice/Charter Assessments using FY21 amounts
 - Departments were sent target budgets in December that included all known contractual increases and level funded other expense categories except:
 - Included costs associated with additional FT Patrolman and Career Firefighter
 - Additional \$50K for Pavement Management
 - Known Principal and Interest debt payments for FY22
 - Included a 3% rate increase for Health Insurance for active employees and a 5% rate increase for retirees
 - 5% Increase for General Insurances
 - Included a 10% increase for Worc. County Retirement
 - Included 2.5% increase for LPS and Monty Tech
 - Included 15% increase for Solid Waste/Recycling Disposal

FY2022 Preliminary Budget Vs. Target Budget: Assumptions and “Unknowns”

- **Revenues:**

- State Aid (Governor’s Budget Proposal); Governor’s proposal is an overall increase of **.17%**
- New Growth: Assumes **\$280,590**; continue to monitor and adjust if needed

- **Expenditures:**

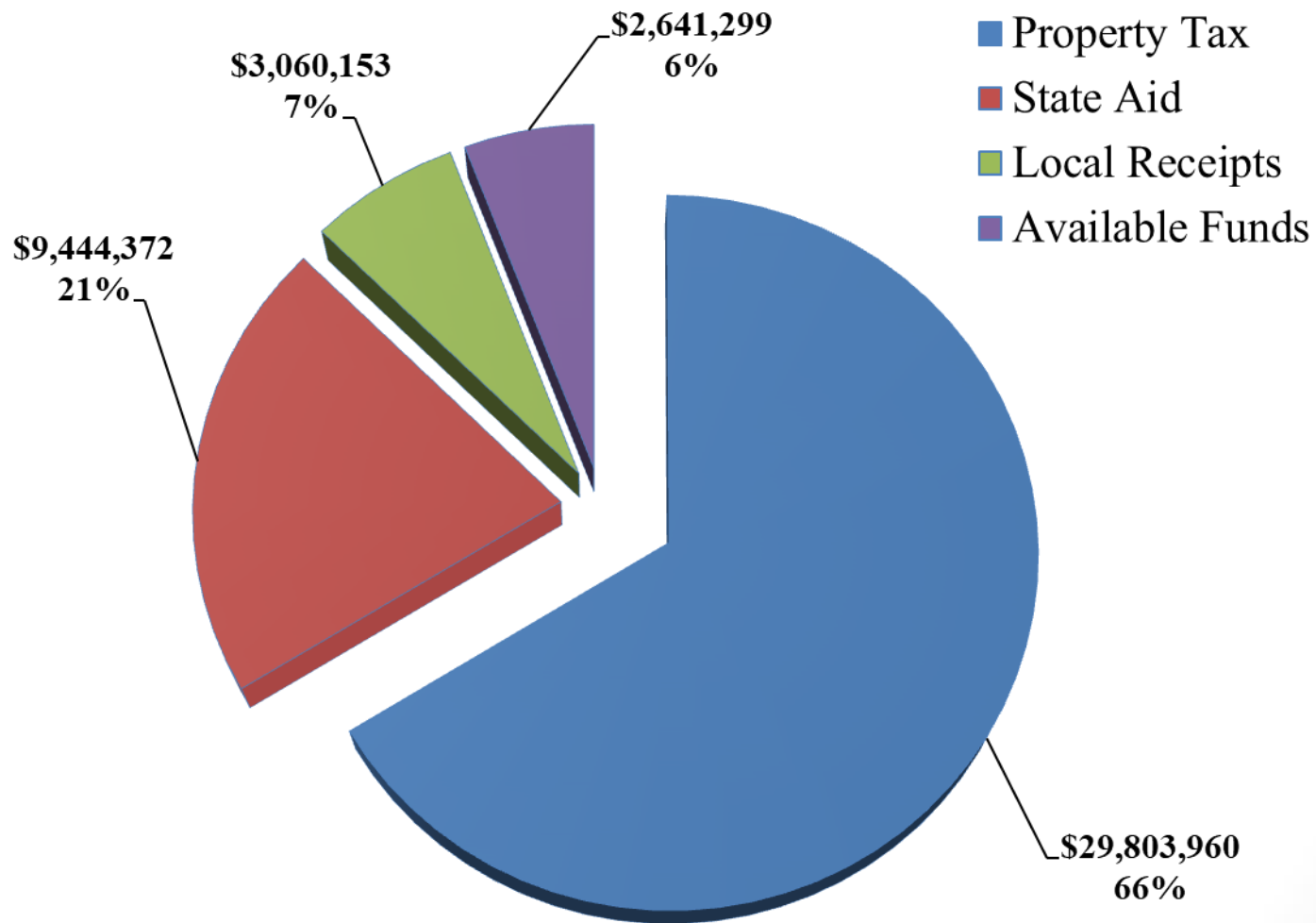
- Cherry Sheet Offsets and State Assessments: Uses the Governor’s figures
- Health Insurance: Assumes a **3 %** rate increase for active employees and **5%** rate increase for retirees. Actual Health insurance renewal received in mid to late February
- Liability and WC Insurance: Assumes a **4%** increase. Renewals are received in late March.
- Police and Fire IOD: Level funded.
- Monty Tech Assessment: Assumes **2.5%** increase; assessments received by the beginning of March
- Solid Waste/Recycling Program: Assumes **15%** increase; contract will be going out to bid early spring and new contract will begin by July 1st.
- Snow and ice deficit for FY21: If we are unable to cover the deficit with end of the year interdepartmental transfers, there is approximately \$834,942 of unexpended free cash that could help cover the deficit.

FY 2022 Revenues

FY2022- Projected Revenues

• Property Tax	\$29,803,960
• State Aid	\$ 9,444,372
• Local Receipts	\$ 3,060,153
• Other Avail. Funds	\$ 2,641,299
• Total	\$44,949,784

FY2022- Revenue Estimates



FY2022 Revenue Estimates

	FY2019	FY2020	FY21	FY22 TM	Dollar Increase	% Increase over
	Final	Final	Final	Prelim. Budget	Over PY	Prior Year
Revenue						
Property Tax*	\$ 26,994,911	\$28,054,410	\$28,896,249	\$29,803,960	\$907,711	3.14%
State Aid**	\$ 9,074,334	\$ 9,250,358	\$ 9,308,929	\$ 9,444,372	\$135,443	1.45%
Local Receipts	\$ 2,940,817	\$ 3,010,153	\$ 3,010,153	\$ 3,060,153	\$50,000	1.66%
Available Funds***	\$ 2,669,543	\$ 3,035,225	\$ 2,427,555	\$ 2,641,299	\$213,744	8.80%
total:	\$ 41,679,605	\$43,350,146	\$43,642,887	\$44,949,784	\$1,306,897	2.99%
*Property Tax includes starting tax levy, 2 1/2%, New Growth, Excludable Debt						
** The State Aid figure for the FY21 Final budget reflects the amount voted at the November 2020 STM and used to set the tax rate.						
*** Available funds will fluctuate mainly due to use of free cash.						

Noteworthy Highlights:

- Governor's State Aid Proposal is less than FY21 increase
- Estimate for local receipts is more conservative than previous fiscal years due to current economic times and these being elastic revenues
- Available funds reflects increase from previous year. Current recommendation calls for use of slightly more Free Cash than previous year and currently recommends using funds from the Special Purpose Stabilization Fund towards a large vehicle purchase in the FY22 Capital Plan.

FY 2022- Property Tax

- Property Tax:
 - Prior Year base (\$26,043,471) plus 2 ½% increase (\$651,087)
 - Estimate for New Growth (\$280,590)
 - No New Overrides or Exclusions
 - Excluded Debt from previous projects for FY22 = \$2,828,812
 - Maximum allowable tax levy for FY2022=\$29,803,960

History of New Growth

New Growth Dollars by Property Class

	FY2017 Budget	FY2018 Budget	FY2019 Budget	FY2020 Budget	FY2021 Budget
Residential New Growth	413,298	315,692	285,164	173,768	160,452
Open Space (OS)	0	0	0	0	0
Commercial (C)	14,866	67,664	55,209	3,187	9,272
Industrial (I)	1,424	2,336	34,901	31,840	0
Personal Property (PP)	58,367	95,804	97,262	157,436	139,008
CIP New Growth	74,657	165,804	187,372	192,463	148,280
TOTAL New Growth ①	487,955	481,496	472,536	366,231	308,732

① DLS, Gateway, Taxrate, LA-13 Tax Levy Base Growth, column K

3-year average

Residential	300,582	346,848	338,051	258,208	206,461
Open Space	0	0	0	0	0
CI	11,140	30,408	45,913	42,020	22,556
PP	58,709	64,926	83,811	116,834	131,235
Total	370,432	442,182	467,775	417,062	360,253

5-year average

Residential	281,793	294,230	300,521	299,895	269,675
Open Space	0	0	0	0	0
CI	8,776	0	0	0	0
PP	55,577	20,995	30,974	29,924	30,040
Total	346,146	315,225	331,495	329,820	299,714

10-year average

Residential	227,452	239,990	261,078	270,504	275,212
Open Space	0	0	0	0	0
CI	7,949	0	0	0	0
PP	49,364	13,267	18,609	16,905	17,779
Total	284,764	253,257	279,687	287,409	292,991

FY2022- State Aid

- This budget recommendation includes the Governor's State Aid proposal
- Governor's Budget, House 1, was released on January 27, 2021
- Budget Proposal provides for additional **\$49,680** in Chapter 70 funds (**.6%** increase) and an additional **\$39,302** in Unrestricted General Government Aid (**3.5%** increase); the total estimate for FY22 = **\$9,444,372** (an increase of **.17%** over the final FY21 State Aid amount approved in December 2020 and an increase of **1.45%** over the FY21 final budget approved at the fall Special Town Meeting)

History of State Aid

STATE AID CHERRY SHEET

	FY2013 Budget	FY2014 Budget	FY2015 Budget	FY2016 Budget	FY2017 Budget	FY2018 Budget	FY2019 Budget	FY2020 Budget	FY2021 Budget	FY2022 Projected
Chapter 70 Education Aid	5,219,937	5,354,696	5,605,872	5,834,483	6,351,257	7,272,505	7,538,072	7,771,740	7,773,938	7,823,618
Charter Tuition Reimbursement	143,361	130,068	50,717	133,545	33,934	78,091	17,860	36,345	64,708	36,704
Charter Facility Reimbursement									-	-
Smart Growth			183,618	166,960	119,257	119,257	29,195	35,372	138,069	79,717
School Lunch (offset)	8,887	8,087	7,451	-	-	-	-		-	-
School Choice Receiving Tuition (offset)	319,057	298,593	241,290	227,741	268,906	281,212	241,647	182,658	176,265	176,265
Unrestricted General Government Aid	894,449	915,592	940,983	974,858	1,016,777	1,056,431	1,093,406	1,122,928	1,122,928	1,162,230
Veterans Benefits	14,496	26,454	40,539	55,238	81,303	45,280	35,873	55,161	42,316	58,371
Exemptions VBS and Elderly	57,665	60,628	61,689	63,425	66,101	58,172	55,517	61,979	62,042	58,214
State Owned land	48,829	49,795	47,844	47,844	47,275	47,230	47,230	26,222	26,905	28,805
Police Career Incentive						-			-	-
Public Libraries (offset)	12,078	11,488	14,647	14,398	14,137	14,615	15,534	16,524	20,448	20,448
TOTAL Cherry Sheet ③	6,718,759	6,855,401	7,194,650	7,518,492	7,998,947	8,972,793	9,074,334	9,308,929	9,427,619	9,444,372

FY2022- Local Receipts

- Estimated Local Receipts – increased \$50,000, or 1.6% over the previous year's estimates
 - Motor Vehicle Excise Tax, licenses, permits, fees, fines, investment income
 - Elastic Revenues- very dependent upon the economy

FY2022 –Local Receipts

- Local Receipts: Estimate is an overall increase of 1.6% over the previous fiscal year estimates.

	FY2019 Actual	FY2020 Actual	FY2021 Estimate	FY2022 Estimate
1. Motor Vehicle Excise	1,850,073	1,813,251	1,671,640	1,721,640
2a. Meals Excise	100,980	134,867	100,980	100,980
2b. Room Excise			-	-
2c. Other Excise-Boat			-	-
3. Penalties/Interest on Taxes and Excises	156,025	154,669	154,670	154,670
4. Payment In Lieu of Taxes	1,648	-	1,648	1,648
5. Charges for Services-Water				
6. Charges for Services-Sewer				
7. Charges for Services-Hospital				
8. Charges for Services-Solid Waste Fees				
9. Other Charges for Services			-	-
10. Fees	160,110	165,998	164,267	164,267
11. Rentals			-	-
12. Dept. Revenue-Schools	119,964	60,207	60,207	60,207
13. Dept. Revenue-Libraries				
14. Dept. Revenue-Cemeteries	3,550	4,100	4,100	4,100
15. Dept. Revenue-Recreation			-	-
16. Other Departmental Revenue	276,947	262,555	262,600	262,600
17. Licenses/Permits	252,315	331,255	331,188	331,188
18. Special Assessments	14,031	11,844	11,844	11,844
19. Fines and Forfeits	27,213	37,183	27,213	27,213
20. Investment Income	112,566	102,340	62,935	62,935
21. Medicaid Reimbursement			-	-
22. Misc. Recurring	1,376		-	-
23. Misc. Non-Recurring	241,224	231,808	212,699	212,699
TOTAL Local Receipts-Actual ①	3,318,023	3,310,076	3,065,991	3,115,991
Difference: Actual over Estimated	307,869	243,085	-	-

FY2022- Available Funds

- **Available Funds**

- Uses \$969,243 from certified Free Cash Available for appropriation used to offset the FY22 Capital Plan, OPEB, and regular Stabilization Account.
- Transfers \$211,000 from the Special Purpose Stabilization Fund to pay for a large DPW vehicle in the FY22 Capital Plan;
- MSBA Reimbursement: \$534,779. Reimbursement and associated debt payment will expire in 2023
- Water & Sewer Betterments
 - Fully funds associated debt service for water and sewer debt
- Sewer Enterprise Fund covers their Indirect Costs
- Public Access Enterprise Fund covers their Indirect Costs
- Transfers \$44,318 from the Artificial Turf Revolving Fund to pay the associated costs for the Artificial Turf Field Debt for FY22

FY2022-Available Funds

	FY2019	FY2020	FY2021	FY2022 TM
	After Recap	After Recap	After Recap	Prelim. Budget
Available Funds				
Free Cash	\$ 602,736.00	\$ 1,297,731.96	\$ 858,356.21	\$ 969,243.00
Bond Premium		\$ 6,350.49		
Unexpended Articles	\$ 54,478.00	\$ 171,781.68	\$ 6,825.61	
Borrowing	\$ 480,495.00	\$ -		
Special Purpose Stabilization Fund				\$ 211,000.00
MSBA Reimbursement (Both debt an	\$ 534,198.00	\$ 535,316.89	\$ 535,051.19	\$ 534,779.55
MSBA Reserve Reimbursement Applied				
Sewer Enterprise Retained Earnings	\$ 70,464.00	\$ 70,805.00	\$ 72,682.00	\$ 74,402.89
Sewer Betterments	\$ 812,905.58	\$ 817,901.40	\$ 804,329.90	\$ 705,876.16
Water Betterments	\$ 58,468.13	\$ 56,837.50	\$ 55,837.50	\$ 54,837.50
Septic Loan Revenue	\$ 10,868.00	\$ -		
PEG Retained Earnings			\$ 48,000.00	\$ 46,842.00
Sale of Cemetery Lots		\$ 35,000.00	\$ -	
Artificial Turf Revolving Fund	\$ 44,930.56	\$ 43,500.00	\$ 46,473.00	\$ 44,318.19
School Transportation Fee Offset	\$ -	\$ -	\$ -	\$ -
total:	\$ 2,669,543.27	\$ 3,035,224.92	\$ 2,427,555.41	\$ 2,641,299.29
Dollar Increase Over Prior Year	\$ 428,772	\$ 365,682	\$ (607,670)	\$ 213,744
Percentage Increase Over Prior Year	19.14%	13.70%	-20.02%	8.80%

Grants, Earmarks, Federal and State Funding:

- In Fiscal Year 2021 the following is a list of the types grants, donations, earmarks, federal and state funding that were received:
 - Police:
 - JAG Grant for Body Worn Cameras: \$36,404
 - Highway Traffic Safety Grant: \$9,881
 - MIIA Risk Management Grant: \$7,458
 - Fire:
 - State Student Awareness of Fire Education Grant and Senior SAFE Grant: \$6,789
 - State Emergency Management Performance Grant for traffic vests and PPE: \$3,500
 - State Safety Equipment Grant for PPE: \$15,000
 - Donations from private donors and MEMA of PPE
 - Library:
 - State Aid (on Cherry Sheet as Offset Receipt): \$16,524
 - Friends of the Library: \$15,000
 - Gift Fund: \$2,500
 - Revolving Fund: \$1,500
 - Town Clerk:
 - Center for Tech and Civic Life Grant for planning safe and secure election administration: \$5,000

Grants, Earmarks, Federal and State Funding:

➤ Senior Center:

- State Formula Grant: \$25,272
- Eagle House Supporters: \$7,000
- Central MA Agency on Aging COVID Grant: \$1,000
- Community Foundation COVID Grant: \$1,000
- COA Gift Fund: \$700
- Other Donations: \$1,580

➤ School:

- Remote Learning Technology Essentials Grant: \$55,735
- Coronavirus Prevention Fund Program: \$67,075
- Elementary and Secondary School Emergency Relief I: \$198,073
- School Reopening Relief Funds: \$377,073

➤ Town Manager:

- Recycling Dividends Program Grant: \$7,200
- ADA Improvement Grant for North Cemetery: \$32,000
- MRPC Brownfields Site Assessment Funding for Phase II & III ESA for 925 Mass Ave: \$36,000
- Community Compact Grants for Financial Trend Monitoring System and Continuity of Operations Plan: \$47,500

➤ State and Federal Funding to the Town:

- CARES Act for Town: up to \$1,027,771
- Density Bonus Payment (40R payment for construction of Baker Brook Apartments at Tri-Town: \$210,000
- FY2021 State Earmark for \$25,000 for the Primary School Fire Alarm System Upgrade

FY2022 Expenditures

Expenditures

- Expenditures are a reflection of the cost of providing a level of services to residents of all ages in our community, to visitors traveling or doing business in Lunenburg, and maintaining or improving our assets.
- As a town, we provide services to students, we provide health and human services to seniors and veterans, recreational services, public safety to all
- The balance is to provide the best services possible given the available resources, maintain our assets, and plan for the future by putting funding into reserves.

Expenditures

- Expenditures are divided into the following categories:
 - Departments
 - Non-Appropriated Costs: Cherry Sheet Offset Charges, Allowance for Abatements, Tax Title, Retirement Assessment
 - Sewer Enterprise Fund
 - Water Enterprise Fund
 - Solid Waste Disposal Enterprise Fund
 - Cable Access Enterprise Fund
 - Other Warrant Articles with a Financial Impact including transfers into Stabilization accounts, OPEB Trust Fund, and Capital Plan

FY2022 Target Budget Highlights

- Police- **\$35k** for add'l Patrol Officer
- Fire – **\$81k** for add'l Career Firefighter
- DPW- **\$50K** for Pavement Management
- Lunenburg Public Schools-**\$528K** for a 2.5% increase
- Monty Tech Assessment- **\$22K** for a 2.5% increase
- Worcester Reg. Retirement-**\$150K** or 10% increase
- Health Insurance-**\$179K** more than final FY21 budget based on 3% rate increase for active employees and 5% rate increase for town and school retirees
- Solid Waste/Recycling Program- **\$30K** or 15% increase for town related costs; contract with Casella expires 6/30/21.

FY2022 Above Target Highlights:

- General Govt: **\$23K** more than target for add'l hours for Assistant Town Clerk (2nd year requested), increased software costs under IT, and \$9K for a PT Board/Committee Clerk position
- Police- additional **\$15K** more than target mostly in Shift Differential line and additional funds in Patrolman Salaries line to fill vacant Detective position
- Fire – additional **\$22k** more than target to increase firefighter training line, increase annual replacement line for turnout gear by \$10K, and small increases in other lines
- Facilities- **\$43K** more than target to restore a Facilities position
- DPW- **\$24K** more than target for Cemetery, **\$39K** more to restore the Asst. Mechanic position, **\$28K** more for Snow Removal, **\$3K** more for Highway OT
- Library-**\$24K** more than target for increases across most of their accounts
- Lunenburg Public Schools – Total original request **+\$154K over target** to fund Superintendent Proposed Budget (3.23% increase as of mid-January).

FY2022 TM Preliminary Budget:

- General Govt: Funds the target and above target requests for additional hours for Assistant Town Clerk, the increase in software costs, and the Board/Committee Clerk position.
- Police- Funds target for additional FT Officer and above target requests for shift differential and funds for filling vacant detective position.
- Fire – Funds target budget and **\$21K** of above target request.
- Facilities- Additional **\$50K** for a Facilities position. In FY20 the budget shifted funds from a vacant Facilities position to contracted services. This would restore the department back to 2 staff members.
- DPW- Includes additional **\$50K** for Pavement Management and additional **\$3K** for OT; additional **\$23K** for Cemetery. Does not fund Asst. Town Mechanic, additional funds for snow removal.
- Worcester Reg. Retirement: Our assessment came in at a **1.92% increase** or **\$29K** more than the previous FY.
- Health Insurance- Currently includes a **3% rate increase** for active employees and **5% rate increase** for retirees. Actual renewal by the end of February. (Includes sufficient funding in H.I. for additional Police, Fire, and Facilities positions at approx. \$19K for each) The Holiday Premium will reduce this line item by \$110K (based on 3% increase for active plans). The overall increase will **\$94,372**.
- Lunenburg Public Schools – Recommendation fully funds the Superintendent's Proposed Budget through the \$239K reduction received through the Holiday Premium (based on 3% increase for active plans).
- Solid Waste/Recycling Program- Maintains 15% increase as estimate.

FY2022 Expenditures

	FY2022	FY22 Prelim. Budget	FY22 Prelim. Budget
	TM Prelim. Budget	Dollar Inc. over PFY	% of total increase
Expenditures:			
General Fund Expenditures:			
General Government	\$ 1,652,946	\$ 44,365	4.01%
Central Purchasing	\$ 75,580	\$ 19,300	1.74%
Police	\$ 2,030,691	\$ 116,599	10.54%
Fire	\$ 1,353,105	\$ 147,883	13.37%
Radio Watch	\$ 304,679	\$ 970	0.09%
Other Protection	\$ 205,151	\$ 2,673	0.24%
Department of Public Works	\$ 1,912,839	\$ 102,684	9.28%
Public Buildings & Facilities	\$ 797,965	\$ 44,386	4.01%
Solid Waste	\$ 249,534	\$ 30,900	2.79%
Health & Sanitation	\$ 89,540	\$ 6,001	0.54%
Council on Aging	\$ 167,318	\$ 6,851	0.62%
Veterans	\$ 105,775	\$ -	0.00%
Lunenburg Public Schools	\$ 21,669,378	\$ 528,090	47.74%
Monty Tech Assessment	\$ 910,901	\$ 22,217	2.01%
Library	\$ 439,541	\$ 4,497	0.41%
Debt Service	\$ 4,562,594	\$ (136,928)	-12.38%
Unclassified	\$ 3,294,589	\$ 136,695	12.36%
Retirement Assessment	\$ 1,531,070	\$ 28,926	2.62%
		\$ -	
sub-total:	\$ 41,353,196	\$ 1,106,109	

FY 2022 Expenditures

	FY2021	FY2022	FY22 Prelim. Budget
	After Recap	TM Prelim. Budget	% increase over PFY
Expenditures:			
General Fund Expenditures:			
General Government	\$ 1,608,581	\$ 1,652,946	2.76%
Central Purchasing	\$ 56,280	\$ 75,580	34.29%
Police	\$ 1,914,092	\$ 2,030,691	6.09%
Fire	\$ 1,205,222	\$ 1,353,105	12.27%
Radio Watch	\$ 303,709	\$ 304,679	0.32%
Other Protection	\$ 202,478	\$ 205,151	1.32%
Department of Public Works	\$ 1,810,154	\$ 1,912,839	5.67%
Public Buildings & Facilities	\$ 753,579	\$ 797,965	5.89%
Solid Waste	\$ 218,634	\$ 249,534	14.13%
Health & Sanitation	\$ 83,539	\$ 89,540	7.18%
Council on Aging	\$ 160,467	\$ 167,318	4.27%
Veterans	\$ 105,775	\$ 105,775	0.00%
Lunenburg Public Schools	\$ 21,141,288	\$ 21,669,378	2.50%
Monty Tech Assessment	\$ 888,684	\$ 910,901	2.50%
Library	\$ 435,044	\$ 439,541	1.03%
Debt Service	\$ 4,699,521	\$ 4,562,594	-2.91%
Unclassified	\$ 3,157,895	\$ 3,294,589	4.33%
Retirement Assessment	\$ 1,502,144	\$ 1,531,070	1.93%
sub-total:	\$ 40,247,087	\$ 41,353,196	2.75%

FY2022 Expenditures-

Non-Discretionary- Debt Service

	FY2020	FY2021	FY2022 TM	Dollar Increase
	After Recap	After Recap	Prelim. Budget	Over PFY
Total: Debt Service	\$ 4,681,672	\$ 4,699,521	\$ 4,562,594	\$ (136,928)
				\$ -
offsets:				\$ -
Tax, Outside Prop 2 1/2	\$ 2,947,348	\$ 2,852,779	\$ 2,828,812	\$ (23,967)
Sewer Betterment	\$ 817,901	\$ 804,329	\$ 705,876	\$ (98,453)
Water Betterment	\$ 56,838	\$ 55,838	\$ 54,838	\$ (1,000)
MSBA	\$ 535,317	\$ 535,051	\$ 534,780	\$ (272)
Net Impact: General Fund	\$ 324,269	\$ 451,524	\$ 438,288	\$ (13,236)

Total appropriation for FY2022 Debt Service = \$4,562,594

FY2022 Expenditures

Non-Discretionary –Debt Service

Town of Lunenburg							
Debt							
		FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
	Issue Date	Budget	Projected	Projected	Projected	Projected	Projected
Total General Fund Regular Debt		\$ 507,123.56	\$ 492,914.02	\$ 455,012.39	\$ 331,110.15	\$ 314,208.65	\$ 148,739.74
Total General Fund Excludable Debt		\$ 3,387,830.58	\$ 3,363,591.91	\$ 3,366,433.55	\$ 2,537,672.52	\$ 2,313,902.52	\$ 2,213,677.52
Total General Fund Short-term Interest		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Sewer Debt		\$ 800,201.18	\$ 702,691.70	\$ 685,558.29	\$ 645,143.85	\$ 310,433.44	\$ 183,792.63
Grand Total Debt Service		\$ 4,695,155.32	\$ 4,559,197.63	\$ 4,507,004.23	\$ 3,513,926.52	\$ 2,938,544.61	\$ 2,546,209.89
Premiums/MSBA Reimb Excludable Debt		\$ 535,051.19	\$ 534,779.55	\$ 534,501.26	\$ 59,968.64	\$ 4.19	\$ -
Net Excludable Debt - Tax Levy - DE1		\$ 2,852,779.39	\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
Regular Debt Administrative Fees		\$ 237.40	\$ 211.51	\$ 185.10	\$ 158.15	\$ 130.66	\$ 102.62
Sewer Debt Administrative Fees		\$ 4,128.72	\$ 3,184.46	\$ 2,434.03	\$ 1,672.43	\$ 1,234.72	\$ 1,127.85
Transfer from Sewer Enterprise - Sewer Debt Service		\$ 804,329.90	\$ 705,876.16	\$ 687,992.32	\$ 646,816.28	\$ 311,668.16	\$ 184,920.48
Transfer from Septic Receipts Reserved							
Meadow Woods Water Betterment Revenue		\$ 55,837.50	\$ 54,837.50	\$ 58,837.50	\$ 57,587.50	\$ 56,337.50	\$ 55,087.50
Transfer from Artificial Turf Revolving		\$ 46,473.00	\$ 44,318.19	\$ 42,134.74	\$ 39,321.78	\$ 41,478.43	\$ 38,453.78
Net Regular Debt Service		\$ 405,050.46	\$ 393,969.84	\$ 354,225.25	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08
% of Net Regular Debt to Levy (cap of 4% per Policy)		1.56%	1.46%	1.27%	0.81%	0.72%	0.18%
Net Excludable Debt		\$ 2,852,779.39	\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)		9.87%	9.49%	9.19%	7.87%	7.14%	6.63%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)		11.28%	10.81%	10.34%	8.61%	7.81%	6.79%

FY2022 Expenditures, Non-Discretionary-General Government Unclassified

- Insurance Estimates

- Liability and Worker's Compensation include a 4% estimated increase. Actual renewals are received in March.
- Police/Fire Injured on Duty insurance is level funded.
- Health Insurance Renewal estimate is 3% rate increase for active employees and 5% rate increase for retirees:
 - Post 65 Program: This past fall we participated in a program to move a small number of employees that were not eligible to receive free Medicare Part A as they did not contribute to Social Security. By participating it reduced our active renewal rate by 2%, reduces our total claims under our active plans, and reduces our OPEB liability by an estimated \$5-6M.
 - 37% of Health Insurance budget is for active town employees; 17% is retiree health insurance for town employees and 47% is retiree health insurance for school employees. Without the Holiday Premium, the active portion is approx. \$943K out of the \$2.554M. School retirees account for \$1.193M and Town retirees account for \$417K.
 - Retirees renewal is on a calendar year basis and is based on a 5% increase for MedEx2, Managed Blue and Medicare.
 - We will receive our Health Insurance renewals by the end of February.

FY2022 Expenditures, Non-Discretionary-General Government Unclassified

The rate range was released at the Annual MMA Meeting on January 22nd and all MIIA Health Trust members will be receiving rates of increase/decrease based on a range within a minimum of -0.6%, an average of 2.9% and a maximum of 6.8%. MIIA will once again be offering a Premium Holiday to it's Health Trust members which will reduce our costs by one full month:

- Between **\$233,000-\$240,000** savings for active plans for health insurance for school personnel;
- Between **\$59,000-\$60,000** savings for active plans for health insurance for town personnel;
- Approximately **\$17,000** in savings for town retiree health insurance plans;
- Approximately **\$32,000** in savings for school retiree health insurance plans.

Propose to create a Health Insurance Stabilization Fund with unappropriated tax revenues to offset FY 2023 health insurance expense. This will create fiscal sustainability for this expense.

FY2022 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

Summary of Member Data	Total
Active Members	168.57
Average Age	45.60
Average Service	8.70
Valuation Salary	6,631,003.00
Average Salary	\$38,778.00
Retired Members & Beneficiaries	95.00
Average Age	73.50
Total Annual Pension	1,942,829.00
Average Annual Pension	\$20,451.00
Disabled Members - Accidental	3.00
Average Age	75.60
Total Annual Pension	77,886.00
Average Annual Pension	\$25,962.00
Disabled Members- Ordinary	1.00
Average Age	54.70
Total Annual Pension	6,828.00
Average Annual Pension	\$6,828.00
Inactive Members	51.00
Annuity Savings Fund	\$715,773.00

FY2022 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

Unfunded Actuarial Accrued Liability as of January 1, 2020		
Summary of Member Data		Total
Actuarial Accrued Liability		
Active Members		15,524,599.00
Retired Members & Beneficiaries		19,347,046.00
Disabled Members, Accidental		653,538.00
Disabled Members, Ordinary		114,209.00
Inactive Members		715,773.00
total AAL=		36,355,165.00
Unfunded Actuarial Accrued Liability (UAAL)		
Actuarial Accrued Liability		36,355,165.00
Actuarial Value of Assets		16,660,420.00
Unfunded Actuarial Accrued Liability		19,694,745.00
FY2022 Assessment		
Employer Normal Cost (Benefit - Employee Contrib + Admin Costs)		466,758.00
Payment on UAL		1,092,525.00
Payment on 2002 ERI		
Payment on 2003 ERI		
Payment on 2010 ERI		
Total Assessment:		1,559,283.00
early payment discount		(28,213.00)
Total if paid on July 1st		1,531,070.00

FY2022 Expenditures, Non-Discretionary- Worcester County Retirement Assessment

FY2022 Appropriation Breakout

Department	Employer Normal Cost	Payment on UAL	Total Appropriation	If Total Appropriation is Paid on 7/1
Town	\$259,137	\$718,757	\$977,894	\$960,200
Sewer	\$5,180	\$9,753	\$14,933	\$14,663
School	\$196,565	\$358,545	\$555,110	\$545,066
Town/School	\$5,876	\$5,470	\$11,346	\$11,141
Total	\$466,758	\$1,092,525	\$1,559,283	\$1,531,070

FY2022 Expenditures-Non-Appropriated Expenditures

	FY2019	FY2020	FY2021	FY2022	Dollar Increase
	Final	Final	Final	Prelim. Budget	Over PFY
Court Judgments					
Cherry Sheet Charges	\$ 1,044,696	\$ 1,082,507	\$ 1,036,576	\$ 981,023	\$ (55,553)
Cherry Sheet Offsets	\$ 257,181	\$ 199,182	\$ 199,182	\$ 196,713	\$ (2,469)
Overlay	\$ 175,016	\$ 175,000	\$ 115,887	\$ 120,000	\$ 4,113
Tax Title	\$ 10,500	\$ 24,000	\$ 24,000	\$ 24,000	\$ -
sub-total:	\$ 1,487,393	\$ 1,480,689	\$ 1,375,645	\$ 1,321,736	\$ (53,909)
*Cherry Sheet Charges and Cherry Sheet Offsets for FY2021 reflects the estimate used to finalize the FY21 budget at the STM and when the tax rate was set.					

Noteworthy Highlights:

- Both Cherry Sheet Charges and Cherry Sheet Offsets have decreased from the previous fiscal year.
- The Overlay Account is funded at \$120K and Tax Title is level funded.

FY2022 Expenditures- Capital, OPEB, Stabilization

	FY2019	FY2020	FY2021	FY2022 TM	Dollar Increase
	After Recap	After Recap	After Recap	Prelim. Budget	Over PFY
Other Warrant Articles:					
Capital Articles	\$ 1,455,214	\$ 1,684,100	\$ 1,142,213	\$ 1,499,825	\$ 357,612
Prior Year Expenses				\$ 626	\$ 626
OPEB Liability	\$ 100,656	\$ 150,000	\$ 110,000	\$ 180,418	\$ 70,418
Stabilization Fund	\$ 87,000	\$ 100,000	\$ 422,252	\$ 100,000	\$ (322,252)
Special Purpose Stabilization Fund	\$ 399,227	\$ 288,222	\$ 250,000		\$ (250,000)
					\$ -
sub-total:	\$ 2,042,097	\$ 2,222,322	\$ 1,924,465	\$ 1,780,869	\$ (143,596)

FY2022 Capital

TM	CPC					FY2022
Priority #	Priority #	CIP#	Dept.	Project Name	Category	Projected
2	1	FD21-01	Fire	Turnout Gear	Equipment	100,000
3	2	PD16-07	Police	Bulletproof Vests, 29 Officers	Equipment	17,500
4	3	DPW17-07	Highway	6-Wheel Dump, plow & sand/Repl.2005 International	Vehicles	211,000
5	4	FM17-05	Town Facilities	PSB, Chiller Replacement	Facilities	150,000
1	5	INFRA20-02	Highway	Flat Hill Culvert Construction	Infrastructure	428,500
6	6	PD17-02-B	Police	Police Vehicle, Marked Replacement	Vehicle	66,950
7	7	LPS20-01	Schools	THES Exterior Envelope Repairs	Facilities	67,000
8	8	FM20-03	Town Facilities	Ritter, ADA Ramp Construction	Facilities	127,500
9	9	FM21-02	Town Facilities	Town Hall Repairs- Vertex Year Items 2,3,5,6	Facilities	69,425
10	10	INFRA21-01	Highway	Page Street Survey/Design/Permit	Infrastructure	20,000
11	11	FM21-03	Town Facilities	Ritter, Envelope Repair Projects in Vertex#6-12	Facilities	120,000
12	12	PD20-02	Police	Police Vehicle, Marked Replacement	Vehicle	66,950
13	13	FM16-05	Town Facilities	PSB, Replace Carpet 1st Floor	Facilities	55,000
				Total Capital Plan		1,499,825
			Funding:	Raise & appropriate		600,000
				Free cash		688,825
				Unexpended Capital		
				Premium Reserved for Capital		
				Special Purpose Stabilization Account		211,000
				Total Available Funding		1,499,825

FY2022 Preliminary Budget

Recap of Less Discretionary & Discretionary Expenditures

The FY 2022 Budget Recommendation reflects requests to increase the staffing levels for certain departments:

- Includes One Additional Police Officer
- Includes One Additional Career Firefighter
- Restores a Facilities position that was eliminated in FY20
- Adds eight hours for the Assistant Town Clerk
- Includes seasonal help for the Cemetery
- Includes an Education and Enforcement Coordinator position that is entirely funded by grant funds
- Includes a PT Minutes Clerk position
- Exceeds the LPS priority needs identified in the Superintendent's 3.23% budget

Education

- **Lunenburg Public Schools:**

- Preliminary Budget Recommendation is a 2.5% increase but meets all of the Superintendent's Recommended 3.23% budget recommendations due to a \$239K savings from the Health Insurance Holiday Premium. \$528K increase;
- Once we receive our health insurance renewal later this month, this may further increase the funding available within the school budget if the active plan increase is less than 3%;
- The announcement of a second round of Elementary and Secondary School Emergency Relief funding in the amount of \$588,834 that is available until 9/30/2023.

- **Montachusett Regional High School:**

- Preliminary Budget Recommendation is a 2.5% increase. We receive our assessment around the beginning of March. Monty Tech also received ESSER II funding in the amount of \$661,823 that should positively impact the assessments.

FY2022 Expenditures-

Conclusions

- Includes Governor's Budget Proposal for State Aid- figures which are subject to change.
- Fully funds all contractual obligations and increased costs for non-personnel related expenditures.
- Balanced based upon use of recurring revenues for operating costs; no draw on Stabilization Fund or Free Cash for operating expenses.
- Maintains existing staff with net 3 additional town employees.
- Preliminary budget exceeds the Superintendent's proposed budget.
- Recommended budget does not fully meet all needs as requested by Department Heads.
- Preliminary budget leaves an unappropriated balance of \$494K that can backfill any increases beyond the estimates used for Monty Tech and the Solid Waste/Recycling Program expenses. Recommendation would be to create Health Insurance Stabilization Fund with a portion of this unappropriated balance.
- Current recommendation leaves a balance of \$834K of Free Cash that can be used for financial warrant articles, increase funding for the FY22 Capital Plan, used on FY21 Snow and Ice Deficit, or deposited into stabilization.

Looking Ahead

FY22-26 Projected Debt & Capacity

		FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
Net Regular Debt Service		\$ 393,969.84	\$ 354,225.25	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08
% of Net Regular Debt to Levy (cap of 4% per Policy)		1.46%	1.27%	0.81%	0.72%	0.18%
Net Excludable Debt		\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)		9.49%	9.19%	7.87%	7.14%	6.63%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)		10.81%	10.34%	8.61%	7.81%	6.79%
Levy Limit w/o Debt Exclusions		\$26,975,148.00	\$27,968,100.00	\$29,004,449.00	\$30,085,279.00	\$31,193,130.00
Levy Limit w/ Debt Exclusions		\$29,803,960.36	\$30,800,032.29	\$31,482,152.88	\$32,399,177.33	\$33,406,807.52
Max Net Regular Debt (4%)		\$ 1,079,005.92	\$ 1,118,724.00	\$ 1,160,177.96	\$ 1,203,411.16	\$ 1,247,725.20
Max Net Excludable Debt (11%)		\$ 3,278,435.64	\$ 3,388,003.55	\$ 3,463,036.82	\$ 3,563,909.51	\$ 3,674,748.83
Max Aggregate Debt (14%)		\$ 4,172,554.45	\$ 4,312,004.52	\$ 4,407,501.40	\$ 4,535,884.83	\$ 4,676,953.05
Annual Debt Capacity Reg.		\$ 685,036.08	\$ 764,498.75	\$ 925,818.94	\$ 986,887.78	\$ 1,192,424.12
Annual Debt Capacity Excludable		\$ 449,623.28	\$ 556,071.26	\$ 985,332.94	\$ 1,250,011.18	\$ 1,461,071.31
Annual Debt Capacity Agg.		\$ 949,772.25	\$ 1,125,846.98	\$ 1,695,438.50	\$ 2,005,463.12	\$ 2,407,974.45

Five Year Tax Rate Impact

Fiscal Year:		2021	2022	2023	2024	2025	2026
Total Assessed value		1,628,643,589	1,661,216,461	1,694,440,790	1,728,329,606	1,762,896,198	1,798,154,122
% change		2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Single Family Average Assessed Value		351,358	358,385	365,553	372,864	380,321	387,928
% change		5.7%	2.0%	2.0%	2.0%	2.0%	2.0%
Levy ceiling		40,716,090	41,530,412	42,361,020	43,208,240	44,072,405	44,953,853
Levy Limit to Levy Ceiling Ratio		63.21%	64.28%	65.27%	66.30%	67.33%	68.34%
Levy Limit (w/o debt exclusions)	2.5%	25,734,738	26,694,557	27,649,495	28,648,232	29,671,938	30,721,236
New Growth		308,732	280,560	300,000	300,000	300,000	300,000
New Levy Limit		26,043,470	26,975,117	27,949,495	28,948,232	29,971,938	31,021,236
Actual Levy (w/o exclusions)		26,039,357	26,975,117	27,949,495	28,948,232	29,971,938	31,021,236
Levy as percent of Levy Limit		99.984%	100.0%	100.0%	100.0%	100.0%	100.0%
Add Override / (Underride as negative)		0	0	0	0	0	0
Tax rate impact		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Levy (taxation)		26,039,357	26,975,117	27,949,495	28,948,232	29,971,938	31,021,236
Base tax rate - w/o debt exclusions		15.99	16.24	16.49	16.75	17.00	17.25
Annual Tax Rate Change -w/o debt exclusions		(\$0.23)	\$0.25	\$0.26	\$0.25	\$0.25	\$0.25
Add Debt Exclusion		2,852,779	2,828,812	2,831,932	2,477,703	2,313,898	2,213,677
Tax Levy		28,892,137	29,803,929	30,781,427	31,425,935	32,285,836	33,234,913
Tax rate impact		\$1.75	\$1.70	\$1.67	\$1.43	\$1.31	\$1.23
Adjusted tax rate		\$17.74	\$17.94	\$18.17	\$18.18	\$18.31	\$18.48
Annual Tax Rate Change		(\$0.38)	\$0.20	\$0.23	\$0.02	\$0.13	\$0.17

FY2022 Budget Calendar

- Departments will present a more in-depth review of their programs, services, and needs during individual presentations beginning on February 18th
- House Ways & Means Budget, end of April
- Senate Budget, end of May
- Town Meeting: May 1st
- Town Election: May 15th
- State Budget: Conference Committee by June 30th with State Aid typically finalized by July

FinCom Budget Meeting Schedule

Thursday, February 11, 2021

7:00	Town Manager's Budget Presentation

Thursday, February 18, 2021

7:00	Council on Aging
7:30	Library
8:00	Land Use

Thursday, February 25, 2021

7:00	Fire
8:00	Police

Thursday, March 4, 2021

7:00	Monty Tech
8:00	DPW

Thursday, March 11, 2020

7:00	Public Access Committee
7:30	Sewer
8:00	Administration, Unclassified, Debt Service

Thursday, March 18, 2021

7:00	Lunenburg Public schools
8:00	Information Technology
8:30	Other Monied Articles

Thursday, March 25, 2021

7:00	FY2022 Budget Public Hearing and Vote on Recommendations
------	--